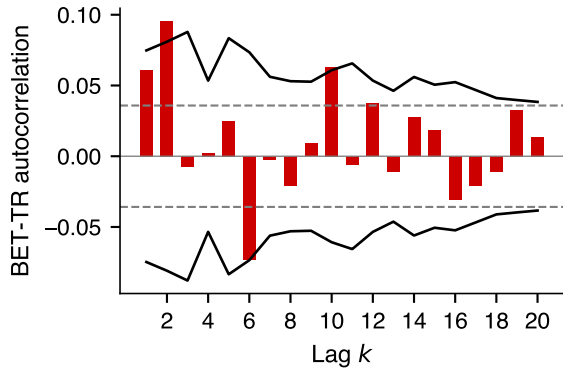
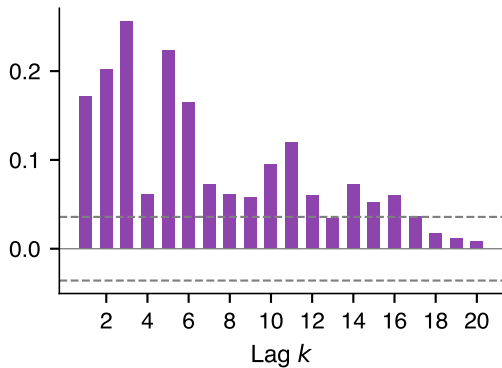


Returns r_t : is the direction predictable?



Squares r_t^2 : does volatility cluster?



■ ACF of r_t
 ■ ACF of r_t^2
 — Robust band $\pm 1.96\sqrt{\hat{\tau}_k}$
 ---- i.i.d. reference band $\pm 1.96/\sqrt{T}$